DRAWDOWNS

Drawdown refers to the highest reduction in the portfolio at any point from the peak. This means, if the entire portfolio falls by 40% from the peak, using the system at the highest, and yet at the end of 5 years, wind up with profits when back-testing, the drawdown for such a system is 40%. It is the maximum loss that we incur in our portfolio at any given point.

So, in the backtesting phase, we will check for the maximum drawdown our portfolio has incurred. We will do this manually but we can also get this done by automated software going ahead. We will also check for volatility in the last major stock market collapse. Currently, we will check the drawdown in a market like 2020 when there was a short-lived collapse due to the COVID pandemic. We will also check, the maximum drawdown in the 2008 financial crisis. If we do not get wiped out of the market in such phases, that means our system has enough resilience to withstand such difficult periods.

However, for prudence, we will say that the worst is yet to come. And therefore, we will consider if we would have survived a drawdown of 1.5x times of the maximum drawdown that we have seen till date. If our system can withstand this, 1.5x of the current highest drawdown, our portfolio has enough resilience to withstand difficult circumstances and passes this test.